made amendments to the LIC Act to facilitate the introduction of the LIC initial public offering (IPO). The Centre introduced the IPO on May 4, 2022, to sell 5 per cent of its stake in the public sector behemoth. Petitions were filed against the amendment on several grounds, including that the amendment to Section 28 of the LIC Act should not have been done as a money bill. The petitioners argued that the amendment altered the nature of LIC from a mutual benefit society to a joint stock company. This, they contended, would enable the expropriation of surplus from policyholders and its distribution among the shareholders. In May 2022, the Supreme Court referred the examination of the validity of this amendment as a money bill to the seven-judge constitution bench. Similarly, in July 2022, the apex court, while upholding the 2019 amendments made to the PMLA, 2002—which deal with the ED's power of arrest, attachment, and search and seizure—left the question of deciding whether the said amendments could be brought in as a money bill to the seven-judge bench.

If the top court eventually rules that the bills could not have been certified as money bills, all new amendments to the PMLA will be struck down. This could potentially impact hundreds of ongoing investigations and trials, including some involving Opposition leaders. The LIC IPO, which got oversubscribed nearly three times last year—the Rs 21,000-crore offer received bids for 478.3 million shares against the total issue size of 162 million shares—would also land in trouble, and that could potentially upend the government's disinvestment plan.

But the biggest impact would be felt if the Aadhaar Act is ruled invalid, at a time when the unique identification number has become a one-stop solution for almost all financial and welfare schemes. The government can save the day by promulgating ordinances and later re-enacting the laws in both houses of Parliament, provided it can garner the numbers. While the petitioners are confident of their arguments, sources in the Union government claim that they are on a firm footing, at least, in the Aadhaar case. The top court will have the final say. ■

NMC NOTIFICATION

Southern Stirrings

By Amarnath K. Menon



STIFF OPPOSITION Tamil Nadu chief minister M.K. Stalin has opposed the NMC guidelines that link the number of MBBS seats in a state/ UT with its population

ANI

Amid heated debates on federal directives, new norms introduced by India's medical education regulator are inviting another round of allegations about the Centre attempting to encroach upon the rights of the southern states. The issue rose to its full potential for controversy when, on October 4, Tamil Nadu chief minister M.K. Stalin wrote to Prime Minister Narendra Modi protesting an August 16 National Medical Commission (NMC) notification. Limiting the number of MBBS seats in any state/ Union Territory (UT) to 100 per one million population, the notification in effect prevents the southern states from opening new medical colleges or adding more MBBS seats by expanding old ones. This bizarre outcome comes about because, going by the 100 per million criterion, all the southern states have already exceeded their limits.

If forced to abide by this ceiling, it will be a serious dampener on the plans of individual states. In Tamil Nadu, it jeopardises the Stalin government's vision to have at least one government medical college in each district. In Telangana, it puts a question mark on